# Equity Decumulator (Covered)

DBS Group Holdings Ltd (D05 SP Equity) | SGD | Tenor 6 months | 2x Gearing | Knock-out | Minimum Decumulateion 1 Period

## 1. GENERAL TERMS

| | |
|---|---|
| **Document Reference** | MB-EQ-DQ-2026-10-0417 |
| **Document Date** | 02 Oct 2026 |
| **Indicative Validity** | Until 6:00 pm SGT on 06 Oct 2026 (Trade Date) |
| **Issuer / Counterparty** | Merlion Bank Ltd (Singapore UEN 190000001A) |
| **Regulatory Status** | Merlion Bank Ltd is licensed by the Monetary Authority of Singapore (MAS) as a bank. |
| **Product** | OTC Decumulator on Equity - Covered, with Gearing and Knock-out |
| **Investor Classification** | Accredited Investor |
| **Trade Date** | 06 Oct 2026 |
| **Issue / Start Date** | 07 Oct 2026 |
| **Final Expiry Date** | 06 Apr 2027 |
| **Settlement Currency** | SGD |
| **Product Risk Rating** | 5 of 5 (highest) - principal at risk; leveraged |
| **Governing Documents** | Master OTC Equity Derivatives Agreement, this Indicative Term Sheet and the Product Booklet (OTC Accumulator & Decumulator on Equity) |

## 2. UNDERLYING SHARE

| | |
|---|---|
| **Underlying Share** | DBS Group Holdings Ltd |
| **Bloomberg Code** | D05 SP Equity |
| **ISIN** | SG1L01001701 |
| **Exchange** | Singapore Exchange Securities Trading Ltd (XSES) |
| **Share Currency** | SGD |
| **Initial Price (Reference Spot)** | SGD 46.00 |
| **Board Lot** | 100 shares |

## 3. PRODUCT TERMS

| | |
|---|---|
| **Buyer of Product** | Investor (sells shares to Issuer) |
| **Forward Price** | SGD 48.30 (105.00% of Initial Price) |
| **Knock-out Price** | SGD 43.70 (95.00% of Initial Price) - Knock-out Event if the Settlement Price (official closing price) is at or below the Knock-out Price on any Observation Day |
| **Shares Per Day** | 500 shares |
| **Gearing Ratio** | 2x - if the Settlement Price is above the Forward Price, the Daily Share Decumulateion is 2 x Shares Per Day; otherwise 1 x Shares Per Day |
| **Observation Frequency** | Daily (each Scheduled Trading Day) |
| **Number of Decumulateion Days** | 130 (indicative; excludes exchange holidays declared after the Trade Date) |
| **Maximum Total Number of Shares** | 130,000 shares (500 x 2 x 130) |
| **Maximum Notional Amount** | SGD 6,279,000.00 (Maximum Shares x Forward Price) |
| **Minimum Decumulateion Period** | 1 (first Decumulateion Period, 23 days) |
| **Minimum Decumulateion Shares** | 11,500 shares (500 x 23) - applies if a Knock-out Event occurs before the end of the Minimum Period (Additional Knock-out Shares = Shares Per Day x remaining days in Minimum Period) |
| **Settlement Frequency** | Monthly; physical delivery of shares against payment of Settlement Amount |
| **Settlement Amount** | Number of Shares x Forward Price, payable on each Settlement Date |
| **Early Termination** | At Issuer's sole discretion only; unwind cost based on mark-to-market; no right of early exit for the Investor |
| **Earmarked Shares (Cover)** | 130,000 shares of DBS Group Holdings Ltd must be held with the Issuer and may not be sold or withdrawn while the Product is outstanding |
| **Initial Margin (if shares pledged)** | 10% of Maximum Notional Amount = SGD 627,900.00 |

## 4. DECUMULATION / SETTLEMENT SCHEDULE

| Period | Period Start | Period End | Days | Settlement Date | Max Shares (geared) | Max Settlement Amount (SGD) |
|---|---|---|---|---|---|---|
| 1 | 07 Oct 2026 | 06 Nov 2026 | 23 | 10 Nov 2026 | 23,000 | 1,110,900.00 |
| 2 | 09 Nov 2026 | 07 Dec 2026 | 21 | 09 Dec 2026 | 21,000 | 1,014,300.00 |
| 3 | 08 Dec 2026 | 06 Jan 2027 | 22 | 08 Jan 2027 | 22,000 | 1,062,600.00 |
| 4 | 07 Jan 2027 | 08 Feb 2027 | 23 | 10 Feb 2027 | 23,000 | 1,110,900.00 |
| 5 | 09 Feb 2027 | 08 Mar 2027 | 20 | 10 Mar 2027 | 20,000 | 966,000.00 |
| 6 | 09 Mar 2027 | 06 Apr 2027 | 21 | 08 Apr 2027 | 21,000 | 1,014,300.00 |

## 5. ILLUSTRATIVE SCENARIOS (FOR ILLUSTRATION ONLY)

| # | Scenario | Total Shares | Settlement Amount | Remark |
|---|---|---|---|---|
| A | Share closes at or below Forward Price but above Knock-out Price on every day (no gearing) | 65,000 | SGD 3,139,500.00 | Investor sells at Forward Price; shares above Forward Price are given up |
| B | Share closes above Forward Price on every day (gearing applies daily) | 130,000 | SGD 6,279,000.00 | At Final Price SGD 58.00 opportunity loss vs. market = SGD 1,261,000.00 |
| C | Knock-out on Day 10 of Period 1 (Minimum Decumulation applies) | 11,500 | SGD 555,450.00 | Min. 11,500 shares at Forward Price |

## RISK FACTORS (NON-EXHAUSTIVE)

1. Decumulator is NOT a hedging instrument; it gives no protection against a fall in the price of the Underlying Share held.
2. The Investor must deliver geared quantities at the Forward Price when the share price is above the Forward Price, forgoing upside (opportunity loss).
3. Covered basis: the Earmarked Shares cannot be sold or withdrawn during the term.
4. A Knock-out Event terminates the Product; the Investor then continues to hold remaining shares fully exposed to downside.
5. Mark-to-market value is determined by the Issuer; early termination only at Issuer discretion and may involve significant cost.
6. Corporate actions may result in adjustments determined by the Issuer.

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Governing law: laws of Singapore. Jurisdiction: courts of Singapore. ISDA 2002 Master Agreement and 2002 ISDA Equity Derivatives Definitions apply where relevant.

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